GMS WEEKLY

Your Source for Recycling News

August 26th, 2022
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Week 34

Highlights:

- **Activity increase.**
- **Inert summer.**
- **Bangla limits.**
- **India performs.**
- **Charter dip.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"The only one who can tell you "you can't win" is you and you don't have to listen."

– Jessica Ennis

MARKET COMMENTARY

Q4 REVIVAL?

As we head into the fourth quarter of the year, activity seems to be increasing in terms of general availability of candidates and demand from sub-continent Buyers for tonnage. It has been an extremely inert summer / monsoon period across all markets, as rates have cooled off tremendously due to sliding steel plate prices and collapsing currencies.

As a result of such crashing fundamentals, the Bangladeshi government responded by setting limits on incoming vessels, and any Letter of Credit (L/C) over USD 2 - 3 million now faces Central State Bank approval, where it is likely to be turned down (as all L/Cs have been so far) due to more pressing needs within the country for other uses of their foreign currency reserves.

Pakistan too has set limits on imports in order to watch their own foreign reserves, all while the country is facing terrible flooding, and hundreds of lives have been lost in the past week as international aid is sought, in order to help the millions that are being displaced & are losing their homes.

India has been the one performing constant sub-continent market presence of late, as several deals on specialist units have taken place in the last few weeks, to at least provide starved local Recyclers, a chance at filling their empty plots.

Turkey on the far-end, though stable this week, has a shattered local mind-set that is simply dis-interested to make any offers on units being privately proposed, as news of any publicly offered units into Aliaga has been virtually non-existent over the last few quarters.

Overall, as dry bulk (particularly Capesize) charter rates have cooled off recently, there is the expectation that we could see some greater activity going into the fourth quarter of the year, especially for the subdued ship recycling markets.

For week 34 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	India	Weak	560 / LDT	570 / LDT	580 / LDT
3	Pakistan	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

BANGLADESH

STRUGGLING TO SECURE!

LC woes.

Bangladeshi Recyclers continue to face difficulties opening fresh L/Cs on incoming vessels, with all L/Cs over USD 2 – USD 3 million now requiring special Central Bank approval to open.

Of course, End Buyers could always open Usance L/Cs, but so great are the currency depreciation fears at present that very few Chattogram Buyers are willing to take such a risk at this time.

VLCC sale.

Speaking of, the Bangladeshi Taka isn't doing too well as it languishes at a record BDT 95 against the U.S. Dollar. Adding to the negativity / pressure onto local sentiments has been local steel plate prices that have fallen by about USD 11/Ton this week.

It was therefore curious to see a VLCC sold for an unexpectedly firm USD 610/LT LDT, potentially for a Bangladesh re-delivery within October as the VLCC URANUS (39,825 LDT) was reportedly committed to an over-eager Cash Buyer this week. Perhaps the concerned Cash Buyer is speculating on a loosening of L/C limits by the time October comes around or has another delivery location in mind.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
URANUS	VLCC	39,825	USD 610/LT LDT

INDIA

CONSISTENT!

India remains the most consistent of the sub-continent markets in terms of levels and firm offers. Prices seem to have settled into the mid USD 500s/LDT (lower than competing markets), but at least Ship Owners / Cash Buyers can be assured of payments (L/C transactions) and End Buyer performances, where both Pakistan and Bangladesh have been faltering of late.

Price settle.

As such, for Ship Owners & Cash Buyers alike, Alang remains the safest delivery location in the sub-continent, even if they (Sellers & Cash Buyers) must accept a slightly discounted price.

Below 80.

Notwithstanding, prices in the mid-to-high USD 500/LDT are still some impressive numbers to beat, considering not too long ago, the markets had tumbled down to the mid USD 200s/LT.

The currency continues to (thankfully) buoy just south of Rs. 80 against the U.S. Dollar, after some significant depreciations earlier this year. However, the ever-present volatility of local steel plate prices continues by the week as levels fell by about USD 14/Ton.

If Owners / Cash Buyers are therefore looking for a safe yet marginally unprofitable / hassle free deliveries, India remains the safest location to bank on.

NO MARKET SALES REPORTED

PAKISTAN

Flood affected

Under water.

Much of the focus has turned away from ship recycling this week, with some terrible monsoon flooding taking hundreds if not thousands of lives, subsequently leaving a lot of the country under water.

International aid has been sought to help in the hardest hit areas, with millions affected and displaced from their homes.

Worst timing.

Making matters worse for the industry, the recent political coup that ousted PM Imran Khan, economic woes with a constantly Pakistani Rupee that is sitting at a devastating PKR 220 against the U.S. Dollar and local steel plate prices that too have fallen USD 20/Ton this week, these floods have come at the worst possible time for the beleaguered country.

NO MARKET SALES REPORTED

TURKEY

SENTIMENTS SLAUGHTERED!

Despite registering no negative movements in import and local steel plate prices this week, and the Lira dangling precipitously at nearly TRY 18.2 against the U.S. Dollar, Aliaga Buyers are simply not interested in engaging in any negotiations at this time.

TRY at 18.2

The destructive dearth of tonnage has done no favours to the local sentiment, which are still reeling from the record drop in vessel prices that have crashed by nearly 50% and that too not long ago.

Understandably, despite dwindling tonnage at local yards, the level of caution remains high, especially as the Russian-Ukrainian conflict in the Black Sea could affect the domestic economy even further.

Further drops?

NO MARKET SALES REPORTED

AMAZING FACTS

- *Avocados were named after reproductive organs. You'll never look at avocados the same way again. Indigenous people of Mexico and Central America used the Nahuatl word āhuacatl to mean both "testicles" and "avocado." The fruits were originally marketed as "alligator pears" in the United States until the current name stuck.*
- *T. S. Eliot wore green makeup. No one is sure why the poet dusted his face with green powder, though some guess he was just trying to look more interesting.*
- *The word "fizzle" started as a type of fart. In the 1400s, it meant to "break wind quietly," according to the English Oxford Living Dictionaries. These other dictionary facts will make you realize just how interesting these big books are.*
- *Human noses and ears get bigger as we age. It's pretty common to see the claim that our nose and ears are the only parts of our body that keep growing as we age, but that's not exactly true. Our nose and ears stop growing along with the rest of our body, but thanks to the weight of gravity, both parts continue to lengthen over time, according to the Discovery Channel.*
- *No number before 1,000 contains the letter A. But there are plenty of E's, I's, O's, U's, and Y's.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	August 25 – September 02 September 07 – September 15 September 24 – October 02

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	August 27 – August 30 September 09 – September 12 September 25 – September 28

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 10 – September 12 – Mid-Autumn Festival	**No holidays in September**	August 30 – Victory Day **No holidays in September**

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ALANG - Port Position as of August 26, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bongo	3,189	Chemical Tanker	Arrived August 24
2	Malaviya Ten	1,969	Supply Vessel	Arrived August 25
Total Tonnage		**5,158**		

CHATTOGRAM - Port Position as of August 26, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ampar 8	1,305	Tanker	Beached August 18
2	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
3	Bawean	3,212	Offshore Support Vessel	Arrived August 16
4	Eiwa	593	Tanker	Beached August 26
5	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
6	Hai Soon 26	2,061	Tanker	Beached August 17
7	Ocean Ri	9,597	Tanker	Arrived August 22
8	Tesla	19,684	Tanker	Beached August 18
9	Vighnharta	16,479	Bulk Carrier	Arrived August 26
10	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
11	Yutoku	1,127	LPG Tanker	Arrived August 23
Total Tonnage		**87,591**		

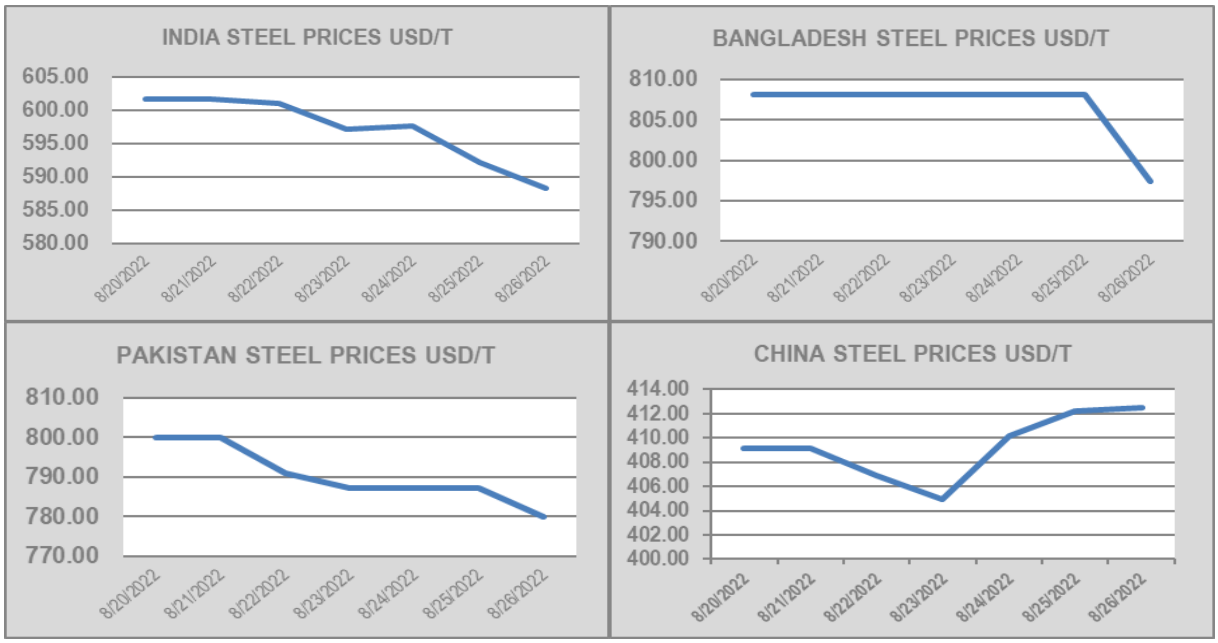
GADANI - Port Position as of August 26, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/20/2022	601.65	48,000.00	800.00	172,000.00	808.08	76,000.00	409.17
8/21/2022	601.65	48,000.00	800.00	172,000.00	808.08	76,000.00	409.17
8/22/2022	600.98	48,000.00	790.84	172,000.00	808.08	76,000.00	406.90
8/23/2022	597.22	47,700.00	787.19	172,000.00	808.08	76,000.00	404.97
8/24/2022	597.67	47,700.00	787.19	172,000.00	808.08	76,000.00	410.16
8/25/2022	592.21	47,300.00	787.19	172,000.00	808.08	76,000.00	412.19
8/26/2022	588.24	47,000.00	780.05	172,000.00	797.45	75,000.00	412.49



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